



Coordinating Illinois' Data Center Boom

State-Level Policy Risks and Opportunities Analysis

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Why This Matters for Illinois Policymakers

- Illinois is experiencing unprecedented data center growth
 - Data center: specialized facilities designed to house computing infrastructure and manage large volumes of data
- Fragmented governance and planning → rising costs, duplicative infrastructure, delays
- Illinois does not produce enough energy to cover what has been proposed
- Without intervention → wasted resources, inefficient projects, and public opposition

Itasca, IL

Agenda

- Research Approach
 - Existing policy solutions
 - SWOT Analysis
 - IE2 Analysis
- Recommended Policy Solutions
 - Short term (0-2 years)
 - Long term (3-10 years)
- Discussion/Conclusion



Chicago, IL



Research Approach

- Literature review of existing policy solutions
- SWOT Analysis: Evaluated the internal and external *Strengths, Weakness, Opportunities*, and *Threats* of Illinois' policy environments
- IE2 Matrix: Mapped SWOT factors in terms of impact and influence to recommend prioritize issues and recommend policy strategies of *Confront, Exploit, Leverage, Mitigate*, and *Monitor* depending on the risk or opportunity presented

Existing Policy Solutions

- Coordinated regional planning
 - Joint planning across utilities, state agencies, and local governments
 - Pro: Reduces duplicate infrastructure, improves preparedness
 - Con: Requires administrative oversight
- Strict cost-causation rules
 - Those who add to capacity demands are responsible for paying for it
 - Pro: Protects ratepayers and stabilizes capacity
 - Con: Reduces competitiveness
- Performance-based incentives
 - Tax credits and community benefits that are conditional based on actual operational usage
 - Pro: Keeps IL competitive, aligns development with public goals
 - Cons: Overly strict standards will deter investment



SWOT Analysis

POSITIVE FORCES

NEGATIVE FORCES

Internal Factors	Strengths	Weaknesses
	- Existing hub: 220+ data centers state-wide - Clean-energy Baseline \$8B+ committed investment; \$3.5B tax revenue potential - Highly educated workforce; available land downstate - Significant job creation(4000-8000 construction, ~600 permanent)	- Aging grid; major reinvestments needed - Fragmented permitting and siting inconsistencies - Complex utility billing; costs pass-through to residents - Grid capacity lagging behind demand - Uncoordinated development landscape → duplicative infrastructure
External Factors	Opportunities	Threats
	- Projected 500% industry growth by 2030 - Federal grid-modernization incentives available “BYO Clean Energy” and utility rate overhaul available policy levers - Downstate development available, siting concentration unnecessary	- Water scarcity and regional grid constraints - Competition from lower-cost, fast-permitting states - Economic volatility (weather, fuel prices, regulatory conflict) - Rising community opposition (energy prices, noise, land use)

IE2 Matrix p.1

FACTOR	CONTROL	IMPACT	INTERPRETATION	STRATEGY
Fragmented Permitting	High	High (-)	Confront	Standardize statewide permitting and siting by influencing market decisions through access to state incentives and centralized approval processes
Utility cost structure	High	High (-)	Confront	Reform cost-recovery models to prevent residential rate shocks and legislate cost-causation mandates for utility companies
Water scarcity/ planning	High	High (-)	Confront	Water usage is managed through local ordinance. Codifying statewide water-use standards for large consumers is critical before community opposition peaks
Chicago hub location	Low	High (+)	Exploit	Exploit network to attract high-value R&D and innovation that includes data-center-adjacent “tech industry”
Secondary land market	High	Medium (+)	Exploit	Use zoning to push development downstate and relieve the Chicago grid. Exploit by using policy to create downstate hot zones as Chicagoland becomes “full”
State Incentives	Medium	Medium (+)	Leverage	Pivot tax breaks towards centers that meet specific green performance indicators.

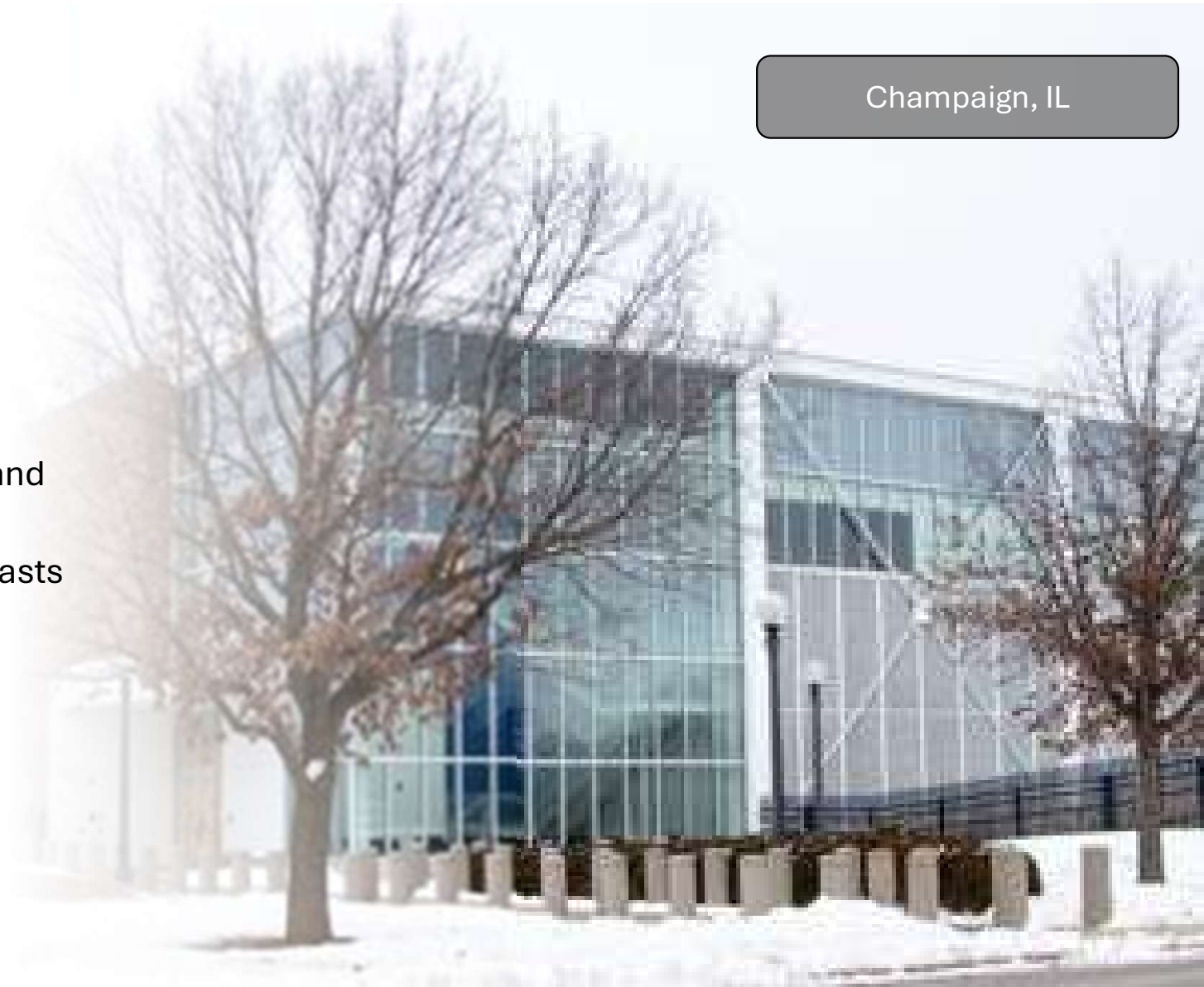
IE2 Matrix p.2

FACTOR	CONTROL	IMPACT	INTERPRETATION	STRATEGY
Explosive market demand	Low	High (+)	Monitor	Manage demand rather than pursue it. The state cannot stop or start demand, but they can monitor proposals and set the pace of approval if the permitting process is unified.
Community opposition	Medium	High (-)	Mitigate	Standardize factors of most concern to communities; noise, land-use, cost allocation. Draft standard zoning ordinances that can be adopted by local governments.
Fragmented developer landscape	Medium	High (-)	Mitigate	Encourage clustering and hub development to pursue regional-level land development. Drive development and operation costs down by forming regulated monopiles to facilitate economies of scale.
Grid Capacity Constraints	Medium	High (-)	Mitigate	Fast-track “BYO Clean Energy” policies and demand-response programs. Mandate that utilities prioritize upgrades to support data center growth through existing state institutions

Short-Term Action (0-2 Years)

Champaign, IL

- Enforce cost-causation principles
- Standardize permitting and siting via incentives
- Require large-load forecasts
- Build regional planning capacity
- Stakeholder mapping & alignment





Elk Grove Village, IL

Long-Term action (3-10 Years)

- Use incentives as steering mechanisms
- Scale benefits based on performance
- Expand downstate development
- Build regional hubs
- Integrate planning into long-term institutions



Aurora, IL

Discussion and Conclusion

- Illinois must adopt a hybrid policy strategy during the strategic moratorium period
- New policy must prioritize confronting high-impact issues first
- To drive costs down, Illinois must facilitate regional-level coordination and planning
- Ratepayers must feel these policies protect them
- Not a question of *if* the sector grows, but *how*

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